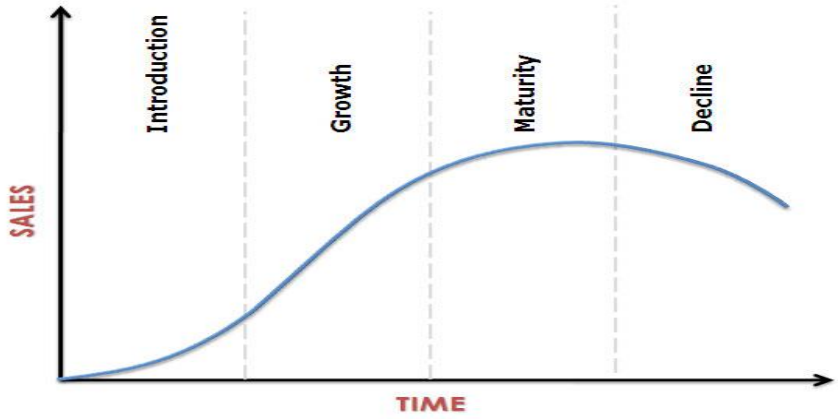
DMGT 203

Marketing Management

Q1) Discuss the product life cycle stages in detail along with the marketing strategies used at each stage with examples.

Ans. Product passes through four stages of its life cycle. Every stage poses different opportunities and challenges to the marketer. Each of stages demands the unique or distinguished set of marketing strategies. A marketer should watch on its sales and market situations to identify the stage in which the product is passing through, and accordingly, he should design appropriate marketing strategies.



Marketing Strategies for Introduction Stage:

Introduction stage is marked with slow growth in sales and a very little or no profit. Note that product has been newly introduced, and a sales volume is limited; product and distribution are not given more emphasis. Basic constituents of marketing strategies for the stage include price and promotion. Price, promotion or both may be kept high or low depending upon market situation and management approach.

Marketing Strategies for Growth Stage:

This is the stage of rapid market acceptance. The strategies are aimed at sustaining market growth as long as possible. Here, the aim is not to increases awareness, but to get trial of the product. Company tries to enter the new segments. Competitors have entered the market. The company tries to strengthen competitive position in the market. It may forgo maximum current profits to earn still greater profits in the future.

Several possible strategies for the stage are as under:

1. Product qualities and features improvement

2. Adding new models and improving styling

3. Entering new market segments

4. Designing, improving and widening distribution network

5. Shifting advertising and other promotional efforts from increasing product awareness to product conviction

Marketing Strategies for Maturity Stage:

In this stage, competitors have entered the market. There is severe fight among them for more market share. The company adopts offensive/aggressive marketing strategies to defeat the competitors.

Following possible strategies are followed:

1. To Do Nothing: To do nothing can be an effective marketing strategy in the maturity stage. New strategies are not formulated.

2. Market Modification: This strategy is aimed at increasing sales by raising the number of brand users and the usage rate per user.

3. Product Modification: Product modification involves improving product qualities and modifying product characteristics to attract new users and/or more usage rate per user.

4. Marketing Mix Modification: This is the last optional strategy for the maturity stage. Modification of marketing mix involves changing the elements of marketing mix.

Marketing Strategies for Decline Stage:

Company formulates various strategies to manage the decline stage. The first important task is to detect the poor products. After detecting the poor products, a company should decide whether poor products should be dropped. Some companies formulate a special committee for the task known as Product Review Committee.

Company may follow any of the following strategies:

1. Continue with the Original Products:

This strategy is followed with the expectations that competitors will leave the market. Selling and promotional costs are reduced.

2. Continue Products with Improvements:

Qualities and features are improved to accelerate sales. Products undergo minor changes to attract buyers.

3. Drop the Product:

When it is not possible to continue the products either in original form or with improvement, the company finally decides to drop the products.

Q2) What are the keys to effective Internal Marketing? How companies can become responsible social marketers?

Ans. Employees and Business Partners: Internal Customers

An organization thrives on the abilities of its constituents, namely its employees and business partners as they define the company's ability in optimizing resources and competencies to convert opportunities into revenues. They are called the internal customers as they interact within the organisation internally to generate long term value.

Like external customers, they too are impacted by the company's brand and its future plans. An information-armed, enthusiastic work force boosts productivity, minimises turnover costs, creates profitable customer relationships, delivers better customer care while strengthening the corporate brand in the market place. However if your internal customers are not sufficiently aware of your marketing plans, and do not participate effectively in the promises to external clients, the external brand equity is negatively affected. It is very important that internal staffs' perception of the organisation – your internal brand – matches the external brand positioning for optimum results. There are various techniques and tools that help organisations implement effective internal brand building and marketing communications. These are intranets, extranets (partner communication on the web), newsletters, posters and pamphlets informing about new initiatives, better systems, company stores, company events, internal rules and procedures.

Internal Marketing Approach

To be effective, internal marketing needs to accurately segment internal customers. Like external customers, they too have their own 'buyer' behaviour, i.e. identifying with the changes which organisations plan to implement. Broadly speaking there are three segments – supporters, neutral, 'opposers'. Each segment requires a different internal 'marketing mix' to deliver on internal marketing goals. For example, if the company wanted to relocate closer to new emerging markets; it could target 'supporters' with a customised video on relocation benefits like low cost of living and better amenities.

Key Success Factors

To ensure that it delivers consistently, internal marketing should:

Function as a continual internal 'up-skilling' process

Align the organisation's purpose with employee behaviour

Internalise core values of the organisation by all employees

Motivate, reframe and empower employee attitude

Facilitate an 'inside-out' management approach

Retain a positive customer experience across all business objectives

Provide role-specific and user-focused information, including best practices around various organisational policies and processes

Increase the peoples' connections with the external / internal customer service division's roadmap by articulating investments, tactics, and objectives.

Be available in a self service / portable format that is accessible anytime, anywhere Smart

Internal Marketing Tools

The web offers one of the best platforms for a consistent internal marketing experience across regional, national and international sections of an organisation. The web's self service function and anytime/anywhere accessibility allows employees to leverage internal marketing programmes without significantly impacting their primary job roles. Besides this, the web allows the employees to form communities based on their personal likings and unofficial designations/department affiliations. This allows effective employee bonding, branding and learning at both the formal as well as informal (cultural) organisation levels.

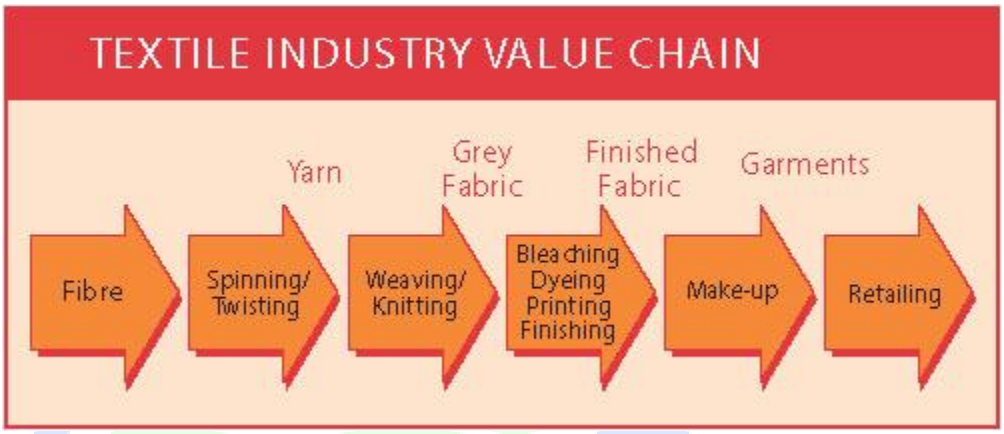
So organisations know what is working and what is not, besides enhancing the ability to be internally adaptive – to increase employee satisfaction and the overall internal marketing programme experience.

Q3. Draw and explain a hypothetical value chain for a textile company .

Ans. Value Chain:

A value chain is a set of activities that a firm operating in a specific industry performs in order to deliver a valuable product or service for the market.

The concept comes from business management and was first described and popularized by Michael Porter in1985.



Primary Activities

Inbound Logistics - involve relationships with suppliers and include all the activities required to receive, store, and disseminate inputs.

Operations - are all the activities required to transform inputs into outputs (products and services).

Outbound Logistics - include all the activities required to collect, store, and distribute the output.

Marketing and Sales - activities inform buyers about products and services, induce buyers to purchase them, and facilitate their purchase.

Service - includes all the activities required to keep the product or service working effectively for the buyer after it is sold and delivered.

Supply Activities (Secondary)

Procurement - is the acquisition of inputs, or resources, for the firm.

Human Resource management - consists of all activities involved in recruiting, hiring, training, developing, compensating and (if necessary) dismissing or laying off personnel.

Technological Development - pertains to the equipment, hardware, software, procedures and technical knowledge brought to bear in the firm's transformation of inputs into outputs.

Infrastructure - serves the company's needs and ties its various parts together, it consists of functions or departments such as accounting, legal, finance, planning, public affairs, government relations, quality assurance and general management.

Classification of Value Chain:

- Physical value chain
- Virtual value chain
- Combined value chain
- Global value chains (GVCs)
  Cross border / cross region value chains
- Global value chains (GVCs) indevelopment

Value Chain in Knit Industry:

Almost complete value chain.

Some of the factories fully integrated ; spinning to finished garment.

Core strength is backward linkage.

95% knit fabric produced locally.

Cumulative average growth of knitwear is 27%.

Value Chain in Woven Industry:

Only a few woven factories that offer quality product.

Majority fabrics has to be imported-higher purchasing cost dependency on external supplier, pricing disadvantages, No GSP facilities for imported fabrics.

Annual consumption of fabric is 3 billion yards.

Consumption increasing 20% per year.

Q4) What is pricing? Explain in detail different pricing methods & strategies.

Ans. There are different pricing methods or strategies which are used by the marketer to attract the customer.

1.) Cost based pricing: this type of pricing strategies uses break even concept which means the point where the total cost = total revenue. Profit will be zero at break even point. At level where the total revenue > total cost there is profit and where total revenue< total cost there is loss.

2.) Demand based pricing: it is of two types;

a) Skimming pricing: it means skim the market initially with high price and high profit, later settle down for the lower price. It means skim the cream initially from the market.

b) Penetration pricing: it seeks to achieve high sale with low price. It is generally used when there are non luxury goods.

3.) Competition oriented pricing: in a competitive market the companies generally opt for this pricing strategy. It has three types.

a) Premium pricing: it means price above the competitor's price.

b) Discount pricing: it means price below the competitor's price.

c) Parity pricing: it means price equals to the competitor's price.

4.) Value pricing: this method is used when the objective is not to recover the cost of the product but to judge the value of the product in the eyes of the customer. Like homeshop 18.

5.) Product line pricing: in this case the company need not fix the price for each product rather they fix the price for the entire product line which results in optimal sales through optimal profit.

6.) Sealed bid or tender pricing: this is suitable for those companies where institutional customers call the tenders from the companies. The best and lowest price tender is accepted.

7.) Affordable or social welfare pricing: the pricing is done in such a way that all the segments of the market afford to buy and consume the product as per their need. Like government subsidy help each segment of the consumer to buy the product at an affordable pricing.

8.) Differentiated pricing: in this case different price is charged by the company from the different segment. Like charging low price from the whole sellers and high price from the retailers.

9.) Psychological pricing: many sellers use this technique of selling the product. Like 99 store.

10.) Target pricing: here the price is fixed at full cost + mark up.

11.) Loss leader: sometime firm sell multiple products, charge relatively low price on some popular product with the hope that customer who will buy this product will also buy the other product of the firm.

12.) Cyclical pricing: in depression firm reduce the price of the product while in boom increases the price.

13.) Suggested pricing: in this case the manufacturer or whole seller suggests the retailer to charge this price from the customers.

Q5) What is Consumer behaviour ? Why is it important to study consumer behaviour& what are the different factors which affect it ?

Ans. Consumer Behaviour - Consumer Behaviour or the Buyer Behaviour is referred to the behaviour that is displayed by the individual while they are buying, consuming or disposing any particular product or services. These behaviours can be affected by multiple factors. Moreover, it also involves search for a product, evaluation of product where the consumer evaluate different features, purchase and consumption of product. Later the post purchase behaviour of product is studied which shows the consumer satisfaction or dissatisfaction where it involves disposal of product (Solomon, 2009).

Importance of Consumer Behaviour to business managers:

- The main purpose behind marketing a product is to satisfy demands and wants of the Consumers. Study of consumer behaviour helps to achieve this purpose.
- The study of consumer behaviours helps business manager, sales person and marketers in the following way.
- To design the best possible product or service that fully satisfies consumer's needs and demands.
- To decide where the service or product would be made available for easy access of consumers.
- To decide the price at which the consumers would be ready to buy that product or service.

- To find out the best method of promotion that will prove to be effective to attract customers to buy a product.
- To understand why, when, how, what and other factors that influence buying decision of the consumers.

Importance of Consumer Behaviour to Marketers

It is important for marketers to study consumer behaviour. It is important for them to know consumers as individual or groups opt for, purchase, consumer or dispose products and services and how they share their experience to satisfy their wants or needs (Solomon, 2009). This helps marketers to investigate and understand the way in which consumers behave so that they can position their products to specific group of people or targeted individuals.

1. To understand Buying Behaviour of consumers

The study of consumer behaviour helps marketers to recognize and forecast the purchase behaviour of the consumers while they are purchasing a product. The study of consumer behaviour helps the marketers not only to understand what consumer's purchase, but helps to understand why they purchase it (Kumar, 2004)

2. To create and retain customers though online stores

Professor Theodore Levitt says that consumer behaviour is of most importance to marketers in business studies as the main aim is to create and retain customers (Kumar, 2004). If the consumers are satisfied with the product, he or she will buy the same product again.

3. To understand the factors influencing Consumer's buying Behaviour

It is important for marketers to consider the factors that affect the buying behaviour of consumer before entering the market. There are many factors that can influence the purchase decision of consumers such as social influence, cultural influences, psychological factors and personal factors (Super Professeur, 2011).

4. To increase the knowledge of sales person influence consumer to buy product

All the products and services marketed revolve around the behaviour of consumers that how they will respond to them. Effective marketing of a product by sales people may help to deliver right product to right people. Consumer behaviour deals with the knowledge of what the consumers need and want to buy and what goods and services are available to satisfy their needs. Thus, consumer behaviour deals with particularly with the behaviour of people i.e., consumers.

5. To understand the consumer's decision to dispose a product or services

Disposal of product involves throwing away of products by the consumers (Solomon, 2009). This behaviour of consumer is very complex and requires more importance by the marketers. Understanding the consumer's behaviour about how and when consumers dispose a product, the marketers or the companies can position themselves so that this behaviour could be limited (Raghavan, 2010).

6. To help marketers to optimize sale of product and create focused marketing strategies

The theories and concepts of Consumer behaviour help marketers to optimize their sales and to create efficient marketing strategies. Moreover, these theories provides marketers with information on the consumer's behaviour to spend money, likely causes that incline them to spend more money on a product, and these two information help to plan strategies that should be practiced by the marketers for successful marketing of a product (Goessl, 2011).

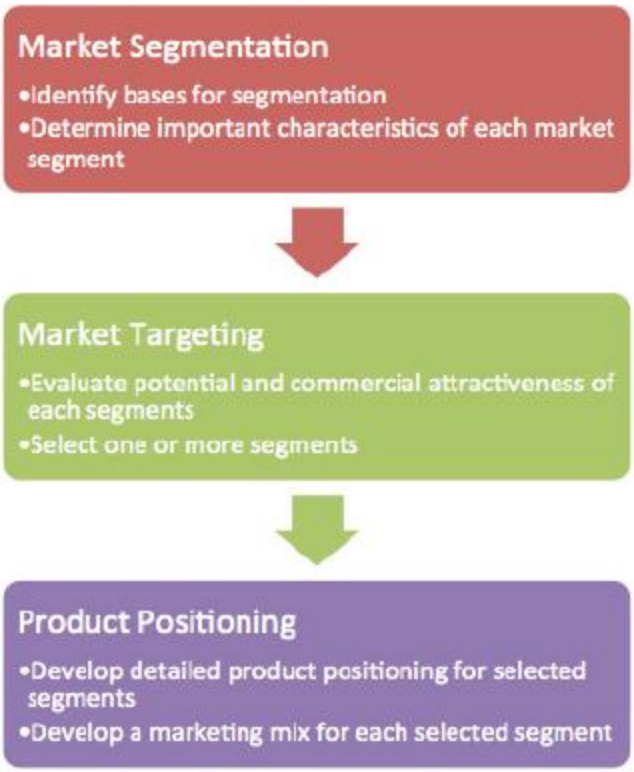
Conclusion

In a nutshell, consumer behaviour theories and concepts are of most importance to the sales people or the marketers. As products are made to cater consumer's needs and demands, therefore, the products should be carefully marketed for the successful achievements of organizational goals. The study of consumer behaviour helps them in analysing different factors that has influence on the buying decision of the consumers. If the marketers failed to understand these factors, they would not meet their targets.

Q6) Discuss the significance of segmentation, targeting and positioning inn a company's marketing strategy. ?

Ans. Today, Segmentation, Targeting and Positioning (STP) is a familiar strategic approach in Modern Marketing.





Through segmentation,you can identify niches with specific needs, mature markets to find new customers, deliver more focused and effective marketing messages.

The needs of each segment are the same, so marketing messages should be designed for each segment to emphasise relevant benefits and features required rather than one size fits all for all customer types. This approach is more efficient, delivering the right mix to the same group of people, rather than a scattergun approach.

Demographics

Psychographics

Lifestyle

Belief and Values

Life Stages

Geography

Behaviour

Market targeting

The list below refers to what's needed to evaluate the potential and commercial attractiveness of each segment.

Criteria Size: The market must be large enough to justify segmenting. If the market is small, it may make it smaller.

Difference: Measurable differences must exist between segments.

Money: Anticipated profits must exceed the costs of additional marketing plans and other changes.

Accessible: Each segment must be accessible to your team and the segment must be able to receive your marketing messages

Focus on different benefits: Different segments must need different benefits.

Product positioning

Positioning, which is the process of arranging for a product to occupy a clear, distinctive and desirable place relative to competing products in the minds of target customers, depends on the differentiation. Because through the differentiation, which is the process of actually differentiating the product to create superior customer value, we can achieve the desired position in customers' minds.

After the company has chosen a desired position, it can take the steps necessary to deliver and communicate that position to target customers by differentiation. If the desired position is to be seen as the cheapest product in the market, the product should be differentiated by an exceptionally low price. If the desired position is to be thought of as the highest quality product in the market, the product should be differentiated by actually *delivering* that exceptional quality competing products do not offer.

Q7) Explain the term integrated marketing communications . How can a company apply this concept ? Give relevant example to support it .

Ans. Integrated Marketing Communications is a simple concept. It ensures that all forms of communications and messages are carefully linked together.

This is enhanced when integration goes beyond just the basic communications tools. There are other levels of integration such as Horizontal, Vertical, Internal, External and Data integration. Here is how they help to strengthen Integrated Communications.

Horizontal Integration occurs across the marketing mix and across business functions – for example, production, finance, distribution and communications should work together and be conscious that their decisions and actions send messages to customers.

While different departments such as sales, direct mail and advertising can help each other through Data Integration. This requires a marketing information system which collects and shares relevant data across different departments.

Vertical Integration means marketing and communications objectives must support the higher level corporate objectives and corporate missions.

Meanwhile Internal Integration requires internal marketing – keeping all staff informed and motivated about any new developments from new advertisements, to new corporate identities, new service standards, new strategic partners and so on.

External Integration, on the other hand, requires external partners such as advertising and PR agencies to work closely together to deliver a single seamless solution – a cohesive message – an integrated message.

The Components Of An Integrated Marketing Campaign:

Advertising-Paid advertising is a mainstay of modern marketing campaigns. And while the focus on traditional media advertising channels has shifted in recent years, new technology has given rise to a far more diverse range of digital and online advertising channels.

Common Advertising Methods

Traditional broadcast media including print, television and radio.

Outdoor channels such as billboards, vehicle and transit advertising.

Online outlets including blogs and websites.

Marketing-Integrated Marketing utilises existing databases of current and potential customers to engage with them directly, delivering a tailored message that drives them to action, whether this be visiting a website, signing up to a newsletter or making a purchase.

Public Relations (PR)-Public Relations (PR) provides marketing teams with an effective outlet to quickly and effectively build good relations with customers, as well as increase the business's overall corporate image and standing within the local and greater general public.

Social Media-The continued rise of social media is providing marketing teams with the unique ability to cut out the middle-man and connect, communicate and interact with customers directly. As a result, marketing teams now have far greater control over how their message is communicated.

The 4Cs Of An Effective Integrated Marketing Campaign

Effective Integrated Marketing Campaigns are built around four major governing principles — principles that ensure marketing teams are able to maximise the impact of every marketing channel at their disposal.

1. Coherence-Integrated Marketing's strength lies in its ability to deliver a strong, focused brand message across a range of diverse marketing channels. It's only able to do this as long as every channel utilised is communicating a coherent message — one that's working towards the same overall marketing goal.

2. Consistency-Consistency across all marketing channels is crucial to the success of any integrated marketing campaign. Like a house of cards, a message communicated by one channel can't be contradicted by that of another, or the entire campaign falls down, and the illusion is broken.

3. Continuity-Modern marketing campaigns are highly fluid things, progressing and evolving over time as marketing teams analyse what works, what doesn't, and where changes can be made to increase their effectiveness.

4. Complementary-Not all marketing channels are created equal: what works for one marketing campaign may not work for another.

Benefits of Intergrated Marketing Communications

IMC wraps communications around customers and helps them move through the various stages of the buying process. The organisation simultaneously consolidates its image, develops a dialogue and nurtures its relationship with customers.

This 'Relationship Marketing' cements a bond of loyalty with customers which can protect them from the inevitable onslaught of competition. The ability to keep a customer for life is a powerful competitive advantage.

Barriers to Integrated Marketing Communications

In addition to the usual resistance to change and the special problems of communicating with a wide variety of target audiences, there are many other obstacles which restrict IMC. These include: Functional Silos; Stifled Creativity; Time Scale Conflicts and a lack of Management know-how.

Take functional silos. Rigid organisational structures are infested with managers who protect both their budgets and their power base.

Q8). Discuss the steps in personal selling process .

Ans. Personal selling is the most expensive form of advertising and to be effective one should use a step by step process to gain the most benefit. Personal selling can adjust the manner in which facts are communicated and can consider factors such as culture and behaviour in the approach. They can ask questions to discover the specific need of the customer and can get feedback and adjust the presentation as it progresses.

The Personal Selling Process

The personal selling process is a consecutive series of activities conducted by the salesperson, the lead to a prospect taking the desired action of buying a product or service and finish with a follow-up contact to ensure purchase satisfaction.

Step One

Prospecting - the first step in the personal selling process

The process of looking for and checking leads is called prospecting or determining which firms or individuals could become customers.

Up to 20% of a firm's customer base can be lost for reasons such as transfer, death, retirement, takeovers, dissatisfaction with the company and competition. A steadily growing list of qualified prospects is important for reaching the sales targets.

Qualifying a prospect: A lead is a name on a list. It only becomes a prospect if it is determined that the person or company can benefit from the service or product offered. A qualified prospect has a need, can benefit from the product and has the authority to make the decision.

Step Two

The Pre-approach

This stage involves the collecting of as much relevant information as possible prior to the sales presentation. The pre-approach investigation is carried out on new customers but also on regular customers. Systematic collection of information requires a decision about applicability, usefulness and how to organise the information for easy access and effective use.

Step Three

The Approach

The salesperson should always focus on the benefits for the customer. This is done by using the product's features and advantages. This is known as the FAB technique (Features, Advantages and Benefits).

* Features : Refers to the physical characteristics such as size, taste etc.
* Advantages : Refers to the performance provided by the physical characteristics eg it does not stain.
* Benefits : Refers to the benefits for the prospect. Eg. Saves you 20% on replacement cost.

Step Four

The Sales Presentation

After the prospects interest has been grasped, the sales presentation is delivered. This involves a "persuasive vocal and visual explanation of a business proposition". It should be done in a relaxed atmosphere to encourage the prospect to share information in order to establish requirements. Some small talk may be necessary to reduce tension but the purpose always remains business.

Step Five

The Trial Close

The trial close is a part of the presentation and is an important step in the selling process. Known as a temperature question - technique to establish the attitude of the prospect towards the presentation and the product.

Step Six

Handling Objections

Objections are often indications of interest by the prospect and should not be viewed with misgiving by salespeople. The prospect is in fact requesting additional information to help him to justify a decision to buy. The prospect may not be fully convinced and the issues raised are thus very important. It also assists the salesperson to establish exactly what is on the prospect's mind.

Step Seven

Closing the Sale

This is the last part of the presentation. Many salespeople fear the closing of a sale. Closing a sale is only the confirmation of an understanding. Fear will disappear if the salesperson truly believes that the prospect will enjoy benefits after the purchase of the product.

Step Eight

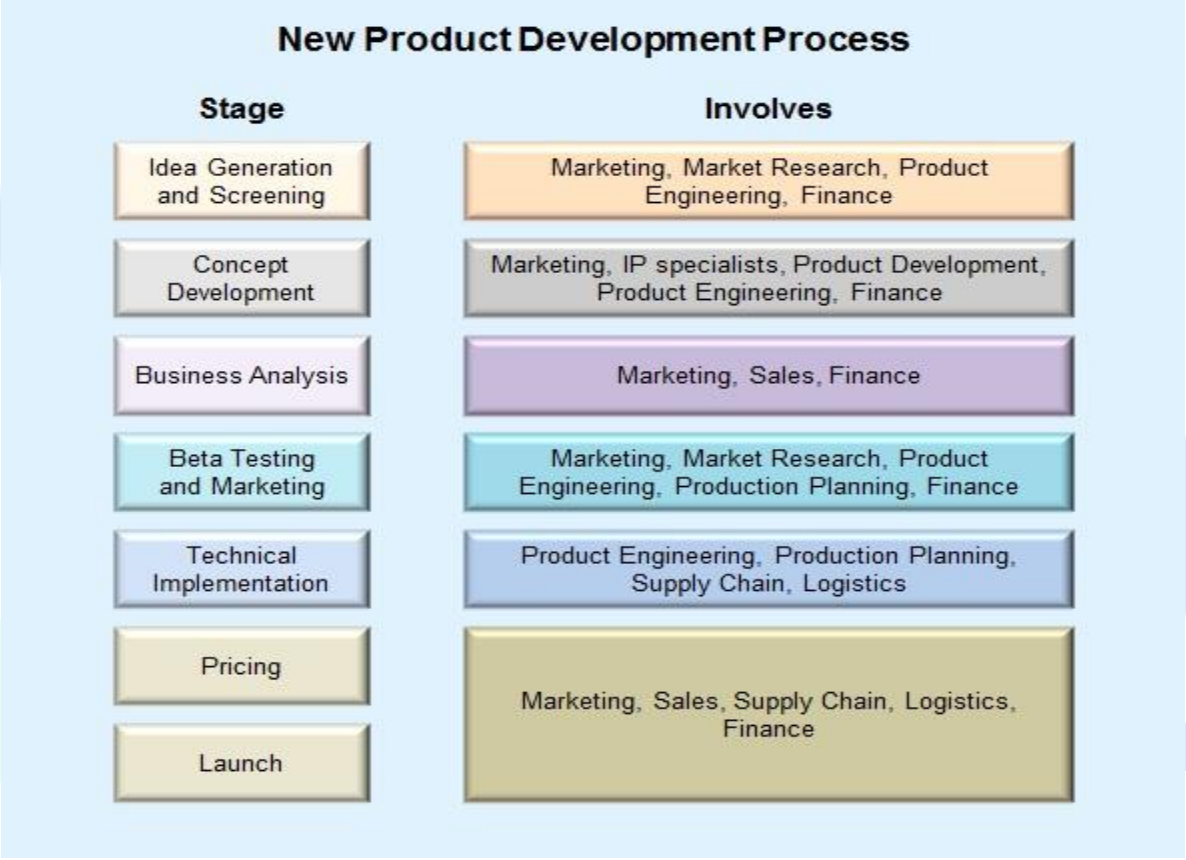
The Follow-up

The sale does not complete the selling process. Follow-up activities are very important and are useful for the establishment of long-term business relationships. It is important to check if the products have been received in good condition, to establish the customer is satisfied etc.

Q9) What is product ? Discuss the process of new product development .

Ans. Step 1: *Generating*

Utilizing basic internal and external SWOT analyses, as well as current marketing trends, one can distance themselves from the competition by generating ideologies which take affordability, ROI, and widespread distribution costs into account.



Step 2: *Screening The Idea*

This step is crucial to ensure that unsuitable ideas, for whatever reason, are rejected as soon as possible. Ideas need to be considered objectively, ideally by a group or committee.

Step3. Concept Development & Testing

You have an idea and it's passed the screening stage. However, internal opinion isn't the most important. You need to ask the people that matter – your customers.

Using a small group of your true customer base – those that convert – the idea need to be tested to see their reaction. The idea should now be a concept, with enough in-depth information that the consumer can visualise it.

Step4. Business Analysis

Once the concept has been tested and finalised, a business case needs to be put together to assess whether the new product/service will be profitable. This should include a detailed marketing strategy, highlighting the target market, product positioning and the marketing mix that will be used.

Step5. Product Development

If the new product is approved, it will be passed to the technical and marketing development stage. This is when a prototype or a limited production model will be created. This means you can investigate exact design & specifications and any manufacturing methods, but also gives something tangible for consumer testing, for feedback on specifics like look, feel and packaging for example.

Step6. Test Marketing

Test marketing (or market testing) is different to concept or consumer testing, in that it introduces the prototype product following the proposed marketing plan as whole rather than individual elements.

Step7. Commercialisation

When the concept has been developed and tested, final decisions need to be made to move the product to its launch into the market. Pricing and marketing plans need to be finalised and the sales teams and distribution briefed, so that the product and company is ready for the final stage.

Step8. Launch

A detailed launch plan is needed for this stage to run smoothly and to have maximum impact. It should include decisions surrounding when and where to launch to target your primary consumer group. Finally in order to learn from any mistakes made, a review of the market performance is needed to access the success of the project.

Q10) Describe in detail the eight major modes of Marketing Communication mix.

Ans. The marketing communications mix consists of eight major modes of communication:

1. Advertising
Any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor via print media (newspapers and magazines), digital media (e-papers, websites), social media (facebook, Youtube, etc.), broadcast media (radio and television), network media (telephone, cable, satellite, wireless), and display media (billboards, signs, posters).

2. Sales promotion
A variety of short-term incentives to encourage trial or purchase of a product or service including consumer promotions (such as samples, coupons, and premiums), trade promotions (such as advertising and display allowances), and business and sales force promotions (contests for sales reps).

3. Events and experiences
Company-sponsored activities and programs designed to create daily or special brand-related interactions with consumers, including sports, arts, entertainment, and cause events as well as less formal activities.

4. Public relations (PR) and publicity
A variety of programs directed internally to employees of the company or externally to consumers, other firms, the government, and media to promote or protect a company's image or its individual product communications.

5. Direct marketing
Use of mail, telephone, fax, e-mail, or Internet to communicate directly with or solicit response or dialogue from specific customers and prospects.

6. Interactive marketing
Online activities and programs designed to engage customers or prospects and directly or indirectly raise awareness, improve image, or elicit sales of products and services.

7. Word-of-mouth marketing (WOM)
People-to-people oral, written, or electronic communications that relate to the merits or experiences of purchasing or using products or services.

8. Personal selling
Face-to-face interaction with one or more prospective purchasers for the purpose of making presentations, answering questions, and procuring orders.

Q11) "CSR is a vehicle on which the companies can race past the profit highway towards growth". Comment and explain the role of CSR in present time .

Ans. Social responsibility in marketing is important because the practice involves focusing efforts on attracting consumers who want to make a positive difference with their purchases. Recyclable packaging, promotions that spread social awareness and portions of profits that benefit charitable groups are examples of social responsibility strategies.

Many companies have adopted social responsibility strategies in marketing as a means to help the community or produce services and products that benefit society. For example, marketing departments may launch a campaign that encourages consumers to buy a bundle of socks versus one pair and the company in turn donates a bundle of socks to military personnel overseas or to homeless shelters in the community. As a result of such generous donations the company brands itself as socially responsible and ethical, which ultimately attracts customers who are engaged in socially responsible commitments and who want to support the welfare of the community.

Corporate responsibility goes hand in hand with social responsibility practices. For example, administrators, executives, and shareholders and stakeholders must practice ethical behaviors and join the community in promoting responsible marketing efforts. Putting on appearances or greenwashing, the practice of deceptively promoting environmentally friendly processes or products, indicates to customers that the company is not committed to social responsibility and can ultimately hurt the brand and the company's success. Consumers often do their research and can see through gimmicks and slogans that are not genuine.

Although an initial investment may be involved to split portions of profits or donate to those in need, social responsibility in marketing promotes a positive company image, which can significantly impact productivity and profitability favorably.

Q12) Describe the major functions of marketing channels. Why are distribution channels more suitable for performing these functions?

Ans. Marketing channels serve many functions, including creating utility and facilitating exchange efficiencies.

Although some of these functions may be performed by a single channel member, most functions are accomplished through both independent and joint efforts of channel members.

1) Information Provider:

Middlemen have a role in providing information about the market to the manufacturer. Developments like changes in customer demography, psychography, media habits and the entry of a new competitor or a new brand and changes in customer preferences are some of the information that all manufacturers want.

2) Price Stability:

Maintaining price stability in the market is another function a middleman performs. Many a time the middlemen absorb an increase in the price of the products and continue to charge the customer the same old price.

3) Promotion:

Promoting the product/s in his territory is another function that middlemen perform. Many of them design their own sales incentive programmes, aimed at building customers traffic at the other outlets.

4) Financing:

Middlemen finance manufacturers' operation by providing the necessary working capital in the form of advance payments for goods and services. The payment is in advance even though the manufacturer may extend credit, because it has to be made even before the products are bought, consumed and paid for by the ultimate consumer.

5) Title:

Most middlemen take the title to the goods, services and trade in their own name. This helps in diffusing the risks between the manufacturer and middlemen.

6) Help in Production Function:

The producer can concentrate on the production function leaving the marketing problem to middlemen who specialize in the profession. Their services can best utilized for selling the product.

7) Matching Demand and Supply:

The chief function of intermediaries is to assemble the goods from many producers in such a manner that a customer can affect purchases with ease. The goal of marketing is the matching of segments of supply and demand.

Role of channels of distribution

Channel of Distribution plays a very important role in achieving the marketing objectives of a company. Undoubtedly, the manufacturer of product or services creates involve utility but the distribution channels create time and place utilities. According to Drucker, "both the market and distribution channels are offer more crucial than the product. They are primary; the product is secondary.

In an ever widening market, particularly in consumer goods market distribution channels have a distinctive role in the successful implementation of marketing plans and strategies. These channels performing the following marketing functions the machinery of distribution.

The searching out of buyers and seller.

Matching goods to requirements of the market(merchandising)

Offering products in the form of assortments packages of items usable and acceptable by the consumers /users.

Persuading and influencing the prospective buyers to favor a certain products and its maker [personal selling /sales promotion].

Implementing pricing strategies in such a manner that would be acceptable to the buyers and ensure effective distribution functions.

Participating actively in the creation and establishment of market for a new product.

Offering pre- and after sales service to customer

Transferring of new technology to the users along with the supply of products and playing green resolution in our country.

Providing feels back information, marketing intelligence and sales forecasting services for their regions their suppliers.

Offering credit to retailers and consumers.

Risk- bearing with references to stock holding transport.

Q13) Define the term 'advertising'. What are the important factors that a firm needs to consider while developing an advertising programme ?

Ans. *"Good advertising does not just circulate information. It penetrates the public mind with desires and belief."*

Advertising can also be defined as the way of capturing public attention through paid messages or information which helps promote or sell a product, service or brand.

Objectives of Advertising

1. **Brand building** – Advertising helps in the establishment and promotion of a brand in the existing market. It also aids in the creation of new market for the brand.

2. **Creation of demand** – One of the main objectives of advertising is that it persuades the customers to buy and use a particular product. Hence, advertising also contributes in creating brand awareness and demand.

3. **Informing Customers about a Product, Company or Service** – Advertising is also a strong medium of communicating about product, company or service.

4. **Promoting a Particular Feature** – Specific objectives of companies can also be fulfilled with the help of advertising.

5. **Achieve sales and profit goals** – Advertisements create awareness about a brand and help in increasing the demand for a product or service.

Factors considering while preparing advertising strategies:

1. Target demographic

Some demographics are a lot more receptive to provocative advertising. Young adults might be more amenable to sexual ads that older audiences may find offensive. You should consider psychographics as well.It comes down to knowing your audience. Knowing their core values, the media they consume and the type of ads they find compelling will help you make tasteful decisions.

2. Category

Certain categories‰—fashion, for instance‰—lend themselves naturally to provocative ads. But if your category sells to families, you might be better off taking the safe route. That‰s why you don‰t see brands in the consumer packaged goods (CPG) category using sexual imagery in their ads too often.

3. Brand

Certain companies develop provocative branding over time. For example, in media and entertainment, CW audiences would expect a show like Vampire Diaries from the

network, whereas the same show wouldn't work for CBS. American Apparel is known for suggestive ads, while American Eagle projects a more wholesome image.

Companies need an outside-in perspective when it comes to their brands. Customer perception, not your advertising messages, defines your brand. I suggest developing perceptual maps that help define your brands based on what customers are saying.

4. Market share

Brands that are chasing market leaders tend to be more provocative in their marketing because they have less to lose. That's why companies such as Carl's Jr. are more prone to featuring celebrities like Paris Hilton in their ads. Newcomers need to take some risks if they want people to pay attention.

Q14) Explain in detail the different tools of sales promotion.

Ans. Sales promotion aimed at consumers is called '**consumer sales promotion**'. It aims at stimulating consumers. The main **consumer promotion tools** include samples, coupons, demonstration, contests, cash refund offer, premium, etc.

1. Samples

Samples are one of the most important tools of sales promotion. Samples are defined as offers to consumers of a small amount of a product for trial. Free samples are given to consumers to generate their interest in the product. Samples help consumers verify the quality of the product.

Samples are delivered at the doors of consumers. They are also sent by mail or given to customers in the retail store itself. Sometimes, samples are attached to another product.

2. Coupons

A coupon is a certificate that fetches buyers a saving when they purchase a specified product. Coupons are generally issued along with the product. They entitle the holder to either a specified saving on a product or a cash refund.

Coupons are designed

- to introduce a new product
- to promote the sale of an established product

3. Demonstration

Demonstration is required when products are complex and of a technical nature. Customers are educated as to how to make proper use of the product. Demonstration of products induces customers to buy. Demonstrations are provided free of cost.

4. Contests

Contests are the promotion events that give consumers the chance to win something such as cash, trips or goods. Contests are conducted to attract new customers. They introduce new product by asking the prospects to state the reasons for the purchase of the product.

5. Cash refund offer

Cash refund offers are rebates allowed from the price of the product. It is an offer to refund part of the purchase price of a product to consumers who send a proof of purchase to the manufacturer.

6. Premium

Premium refers to goods offered either free or at low cost as an incentive to buy a product. A premium may be inside the package, outside it or received through mail. The reusable package itself serves as a premium.

Premium is generally offered for consumer goods such as soap, toothpaste, etc. Premium may be of several kinds — direct premium, reusable container free in mail premium, a self liquidating premium, trading stamps, etc.

7. 'Price off' offer

Goods are sold at reduced prices during slump season. Reduction in prices stimulates sale of goods.

8. Consumer sweepstakes

A sweepstakes calls for consumers to submit their names for a draw. Names of consumers are included in a list of prize winning contest. The lots are drawn and the winners get prizes.

9. Buy back allowances

Allowances are granted to buyers on the basis of their previous purchases. In other words, buy back allowances are given for new purchases, based on the quantity of goods bought previously.

Q15. Explain Marketing Research Process

Ans. Step 1: Problem Definition

The first step in any marketing research project is to define the problem. In defining the problem, the researcher should take into account the purpose of the study, the relevant background information, what information is needed, and how it will be used in decision making. Problem definition involves discussion with the decision makers, interviews with industry experts, analysis of secondary data, and, perhaps, some qualitative research, such as focus groups. Once the problem has been precisely defined, the research can be designed and conducted properly.

Step 2: Development of an Approach to the Problem

Development of an approach to the problem includes formulating an objective or theoretical framework, analytical models, research questions, hypotheses, and identifying characteristics or factors that can influence the research design. This process is guided by discussions with management and industry experts, case studies and simulations, analysis of secondary data, qualitative research and pragmatic considerations.

Step 3: Research Design Formulation

A research design is a framework or blueprint for conducting the marketing research project. It details the procedures necessary for obtaining the required information, and its purpose is to design a study that will test the hypotheses of interest, determine possible answers to the research questions, and provide the information needed for decision making.

More formally, formulating the research design involves the following steps:

1. Secondary data analysis
2. Qualitative research
3. Methods of collecting quantitative data (survey, observation, and experimentation)
4. Definition of the information needed
5. Measurement and scaling procedures

6. Questionnaire design
7. Sampling process and sample size
8. Plan of data analysis

Step 4: Field Work or Data Collection

Data collection involves a field force or staff that operates either in the field, as in the case of personal interviewing (in-home, mall intercept, or computer-assisted personal interviewing), from an office by telephone (telephone or computer-assisted telephone interviewing), or through mail (traditional mail and mail panel surveys with prerecruited households). Proper selection, training, supervision, and evaluation of the field force helps minimize data-collection errors.

Step 5: Data Preparation and Analysis

Data preparation includes the editing, coding, transcription, and verification of data. Each questionnaire or observation form is inspected, or edited, and, if necessary, corrected. Number or letter codes are assigned to represent each response to each question in the questionnaire. The data from the questionnaires are transcribed or key-punched on to magnetic tape, or disks or input directly into the computer. Verification ensures that the data from the original questionnaires have been accurately transcribed, while data analysis, guided by the plan of data analysis, gives meaning to the data that have been collected.

Step 6: Report Preparation and Presentation

The entire project should be documented in a written report which addresses the specific research questions identified, describes the approach, the research design, data collection, and data analysis procedures adopted, and presents the results and the major findings.

Q16. Describe various structures of Sales organization in marketing?

Ans: Sales force consists of sales persons who work primarily with customers in person, although they may also use the telephone or assistance from computer links to perform orders and provide customer service.

Structure of Sales Organisation

The following are the important field sales:

Geographic Sales Organisation

The most common means of specialization of the sales force is by geographic region. In a geographically based sales force, a salesperson has to visit all current and potential customers in a given geographic territory. Some advantages of geographic organizations are (1) Proper coverage of territory (2) Defining the responsibility (3) Familiarity with local economic and competitive conditions, making them better able to serve local customer. The disadvantages of geographic specialization is that the salespersons need to be responsible for the entire product line in their territory even though they may not be having uniform knowledge about all products.

Product-based Sales Organisation

Organizations that specialize their sales forces according to the product line create a product-based sales force. Product-based organizations are useful for complex

products because they require the sales force to concentrate on a limited product line. Product specialization is generally combined with geographical specialization at the higher levels, while at the level of field operators, different salesmen may be assigned to specific product lines. The disadvantages of product-based sales organization include duplication of calls and buyer frustration. This duplication of coverage can lead to increased selling cost.

Customer-based Sales Organisation

Organizations with several separate and distinct markets, accounting for major portions of their sales, often organize their markets on the basis of customers.
Example: Organizations such as Hewlett-Packard, Xerox and IBM are customer-based Organizations.

Activity/Function-based Organisation

An activity/function-based sales organization is able to focus on the use of high-cost selling methods, such as face-to-face sales calls, during a selling process. An activity based sales force can also be designed to meet the customer service issues that are most important at each stage of the selling process. A disadvantage of this type of organization may be the overlapping of accounts by using different techniques.

Hybrid Sales Organisation

A hybrid sales organization is formed when two or more organizational types are combined. This type of organization structure is designed to overcome the problems of individual sales organizations. Its main advantage is the ability to offer customers the service they need using the most efficient method. The primary disadvantage of hybrid sales organization is the difficulty of managing multiple sales forces, whether they are serving the same or different customers.

Team-based Sales Organisation

Many organizations are more responsive to their environment because they use team work as their basic building blocks making them team-based organizations. Teams are made up of people from different functional units, such as manufacturing, technical support, marketing and sales.

Matrix Management Organisation

Matrix Management is a type of organizational management in which people with similar skills are pooled for work assignments. It is the interface of an organization both vertically and horizontally. Traditional organizations consist of horizontal layers with a distinct line of command. Under matrix management, people may report to more than one person. It is a style of management where an individual has two reporting superiors (bosses) – one functional and one operational.

Q17. What are the various considerations to be taken while performing at a global marketplace?

Ans. **Global Marketplace:** A **global market** is not limited to specific geographic locations but rather involves the exchange of good, services, and labor anywhere in the world. For example, a business may be located in the United States. It may purchase components for one of its products from Japan, South Korea, Germany, and Mexico. The components may be shipped by a shipping company from Greece to an

outsourcing firm in China for assembly, where it is then transported across Chinese and Russian railroads for distribution in European retail stores.

Political/Legal Considerations

At the national level, stability of political system and laws enacted by government determine the legal and economic boundaries within which businesses will operate and influence marketing opportunities for companies from other countries. Following factors need to be considered:

1. Unstable political systems generally make markets very risky and unattractive for firms interested in foreign markets.
2. Government may restrict imports or make it difficult to get clearance, and in some countries trademark protection may be difficult.
3. Host government may restrict currency movements and profit repatriation from foreign operations may be difficult.

Economic Considerations

A company seeking foreign markets has to evaluate the economic conditions of the host country. These dimensions will include infrastructure, level of economic development, and competition etc.Study of infrastructure would evaluate the foreign country's ability to provide transportation,power, and communications. Depending on the nature of product, the international marketerwill need certain levels of infrastructure development.

Example:A company may need efficient Internet availability, warehousing, and courierservices to do business. Companies will need newspapers, TV, and other communication mediato efficiently and effectively reach customer.The company would consider GDP per capita and income distribution at present and also what is likely to be the scenario in future. In general, as GDP and per capita income figures rise, thedemand for most goods and services also increases. Income distribution may reveal some attractiverich niche markets. For example, India and Indonesia have relatively low per capita income, butthere are small and wealthy niche markets with ability to pay for branded luxury goods.

Social/Cultural Considerations

It is crucial for an international marketer to understand the society's cultural values in a host country. Study of culture will include various aspects of material, religion, social, beliefs and behaviour, aesthetic, education, and language dimensions. Individual consumers from different cultures patronize different products and may respond in different ways towards the same product. Example: When Mattel Toys introduced its famous Barbie Doll in Japan, customers did not buy it. Later the company introduced a modified Barbie Doll with slightly oriental eyes and girlish figure, the sales rapidly picked up.

Technological Considerations

Considering technological aspects is necessary when getting involved in international marketing operations. Companies requiring the use of technically sound infrastructure need to evaluate host markets on this dimension. At any given time, all countries do not reflect the same level of technological development. For instance, in some countries there is considerable shortage of power and this consequently influences demand for electrically operated products. Many countries lack dependable

communication services, such as modern broadcasting and postal services, landline and mobile phones, fax, Broadband Internet, courier, transportation and travel etc. Due to lack of technological advancements, much of technology used for marketing communications cannot be used in many countries.

Short Ques.

Q1. Define the term 'value chain'.

Ans. A value chain is the whole series of activities that create and build value at every step. The total value delivered by the company is the sum total of the value built up all throughout the company. The value chain concept separates useful activities (which allow the company as a whole to gain competitive advantage) from the wasteful activities (which hinder the company from getting a lead in the market). Focusing on the value-creating activities could give the company many advantages.

Q2. What is meant by Data warehousing and Data mining?

Ans. A data warehouse is a collection of databases that work together. A data warehouse makes it possible to integrate data from multiple databases, which can give new insights into the data. The ultimate goal of a database is not just to store data, but to help businesses make decisions based on that data. A data warehouse supports this goal by providing an architecture and tools to systematically organize and understand data from multiple databases.

Data mining is the process of analyzing data and summarizing it to produce useful information. Data mining uses sophisticated data analysis tools to discover patterns and relationships in large datasets. These tools are much more than basic summaries or queries and use much more complicated algorithms.

Q3. What are the cultural factors affecting consumer buying behavior?

Ans. Religion

Status

Culture: The culture refers to the beliefs, customs, rituals and practice that a particular group of people follows.

Subculture: The culture can be further divided into subculture wherein the people are classified more specifically on the basis of their shared customs and beliefs, including religions, geographic regions, nationalities, etc.

Social Class: The social class to which an individual belongs influences the buying decision. Generally, the people belonging to the same class are said to be sharing the similar interest, value and the behavior.

Q4. What is meant by product specification?

Ans. A Product Specification is a document that provides critical defining information about a product and can include identification of the manufacturer; a list of rules, bans and standards that apply to the item; design specifications and product images that visually illustrate the product and note distinguishing characteristics.

In other words, Is a statement which gives all the details of the product, its features and what functions it is capable of doing or can do. It is a part of product life cycle management.

Q5. Define Positioning.

Ans. Positioning defines where your product (item or service) stands in relation to others offering similar products and services in the marketplace as well as the mind of the consumer.

A good positioning makes a product unique and makes the users consider using it as a distinct benefit to them. A good position gives the product a USP (Unique selling proposition). In a market place cluttered with lots of products and brands offering similar benefits, a good positioning makes a brand or product stand out from the rest, confers it the ability to charge a higher price and stave off competition from the others. A good position in the market also allows a product and its company to ride out bad times more easily. A good position is also one which allows flexibility to the brand or product in extensions, changes, distribution and advertising.

Q6. What is meant by positioning errors?

Ans. UNDER POSITIONING: Here the customer's have a blurred and unclear idea of the brand.

OVER POSITIONING: Here the customer's have too limited awareness of the brand.

CONFUSED POSITIONING: Here the customer's have confused opinion of the brand.

DOUBLE POSITIONING: Here the customer's do not accept the claims of the brand.

Q7. Give the meanings of the following:

Ans. A company's **brand identity** is how that business wants to be perceived by consumers. The components of the **brand** (name, logo, tone, tagline) are created by

the business to reflect the value the company is trying to bring to the market and to appeal to its customers.

Brand equity refers to a value premium that a company generates from a product with a recognizable name, when compared to a generic equivalent. Companies can create **brand equity** for their products by making them memorable, easily recognizable, and superior in quality and reliability.

Brand image is developed over time through advertising campaigns with a consistent theme, and is authenticated through the consumers' direct experience.

Q8. Define test marketing.

Ans. Product development is a stage where the product and its marketing plan are exposed to a carefully chosen sample of the population for deciding if to reject it before its full scale launch. Test marketing is an experiment conducted in a field laboratory (the test market) comprising of actual stores and real-life buying situations, without the buyers knowing they are participating in an evaluation exercise. It simulates the eventual market-mix to ascertain consumer reaction. Depending on the quality and quantity of sales data required for the final decision, test marketing may last from few weeks to several months.

Q9. Define Psychological Pricing.

Ans. It is a concept which states that certain prices have impact on buying power. These prices catch the eye of the customer and results into buying of the product. These are also referred as magic prices or charm prices.

Advantages: -

- Overall improvement
- Emotional based pricing

Disadvantages: -

- Calculation complication

Q10. What are the basic roles of Marketing Channels?

Ans. 1) Information Provider

2) Price Stability

3) Promotion

4) Financing

5) Title

6) Help in Production Function

7) Matching Demand and Supply

Q11. What is Promotion?

Ans. In marketing, promotion refers to a different sort of advancement. A sales promotion entails the features - via advertising and/or a discounted price - of a particular product or service. Product promotions can also be classified as "sales" or "specials."

promotion is advertising a product or brand, generating sales, and creating brand loyalty. It is one of the four basic elements of the **market** mix, which includes the four P's: price, product, **promotion**, and place.

Q12.Give the points differentiating advertising and personal selling?

Ans.

BASIS FOR COMPARISON	ADVERTISING	PERSONAL SELLING
Meaning	Advertising is a means of communication, which calls customer's attention towards the product or service, through mass media.	Personal selling refers to a form of promotion, wherein the sales representative sells the product to customers, by directly visiting them.
Communication	One-way communication	Two-way communication
Form	Impersonal form of communication	Personal form of communication
Strategy	Pull strategy	Push strategy
Message	Standardised	Customised
Channel	Mass media	Sales personnel
Time	Conveys message to end number of individual in less time.	Conveys message to a few customers only in relatively high time.

Q13. Explain direct and online marketing.

Ans. **Direct marketing** is a form of advertising which allows businesses and nonprofit organizations to communicate directly to customers through a variety of media including cell phone text messaging, email, websites, online adverts, database marketing, fliers, catalog distribution, promotional letters and targeted television, newspaper and magazine advertisements as well as outdoor advertising. Among practitioners, it is also known as *direct response*.

Online advertising, also called **online marketing** or **Internet advertising** or **web advertising**, is a form of marketing and advertising which uses the Internet to deliver promotional marketing messages to consumers. Consumers view online advertising as an unwanted distraction with few benefits and have increasingly turned to ad blocking for a variety of reasons.

Q14. What is meant by sales forecasting and budgeting?

Ans. A sales budget is an important first step in structuring an overall budget for your small business. With an accurate projection of future sales, a small business owner makes well-informed decisions, keeps expenses in line and protects his company from failing.

Sales forecasting uses past sales figures to predict the short-term or long-term future performance to enable sound financial planning.

Q15. What are the offensive and defensive strategies?

Ans. An offensive marketing strategy seeks to attack the market by targeting the weaknesses of the competition and emphasizing the company's strengths in comparison. Offensive marketing does not seek to challenge an industry leader's strengths since that would only play to the leader's defensive marketing capabilities. This strategy attacks the industry leader where the company is at its most vulnerable. For example, a company using an offensive marketing strategy may seek to target an established industry leader's shaky product safety record by emphasizing the safety of its own products.

A defensive marketing strategy is largely reactive to the competition or perceived occurrences in the market, according to the website for the Massachusetts Institute of Technology. A defensive strategy seeks to counter product claims made by the competition or to stem the tide of a perceived competitor advantage.

Q16. Explain in brief different marketing concepts.
Ans: (1) Production Concept: The basic idea behind production concept was: The firms will produce what they can produce efficiently. This will ensure enough supply of the products at low-cost and demand will be created by itself.

(2) Product Concept: Those companies who believe in this philosophy are of the opinion that if the quality of goods or services is of good standard, the customers can be easily attracted. The basis of this thinking is that the customers get attracted towards the products of good quality.
(3) Selling Concept: The basis of this thinking is that the customers can be attracted. Keeping in view this concept these companies concentrate their marketing efforts towards educating and attracting the customers to buy the product.
(4) Marketing Concept: Those companies who believe in this concept are of the opinion that success can be achieved only through consumer satisfaction. The basis of this thinking is that only those goods/service should be made available which the consumers want or desire.
(5) Societal Marketing Concept: This concept stresses not only the customer satisfaction but also gives importance to Consumer Welfare/Societal Welfare. This concept is almost a step further than the marketing concept. Under this concept, it is believed that mere satisfaction of the consumers would not help and the welfare of the whole society has to be kept in mind.

Q17. Describe the characteristics of services ?

Ans: Some of the important characteristics of services are as follows:

Services	**Characteristics**
Intangibility	Difficult to evaluate, Marketer sells a promise, Difficult to advertise, difficult to justify prices
Inseparability	Activities of service production and consumption are simultaneous , Consumers must participate in production . Consumer does not take physical possession of the service
Perishability	Services can't be stored , Unused capacity lost for ever
Client- based Relationship	Success depends on satisfied customers in the long – run
Customer contact	Service providers commitment critical to delivery , high level of employee training and motivation essential to success.